

The complete expert's atlas of India's two-wheeler industry

India sold a record **21.71 million two-wheelers domestically in FY26** (+10.7% YoY), plus **5.18 million exports**, finally surpassing the FY19 pre-pandemic peak. The industry's narrative has flipped: scooters are growing nearly 3x faster than motorcycles (+18.5% vs +6.6%), Royal Enfield crossed **1 million units** for the first time, **Bajaj acquired controlling 74.9% of KTM's parent** in November 2025, GST 2.0 (Sept 22, 2025) cut tax from 28% to 18% on all sub-350cc 2Ws while raising it to 40% on >350cc bikes (forcing Bajaj-Triumph and Pulsar NS400Z to downsize to 349cc), and **Ola Electric collapsed from 30% to 12% EV market share** while TVS, Bajaj, Ather and Hero Vida overtook it. The PM E-DRIVE 2W subsidy — originally ending March 31, 2026 — was extended to **July 31, 2026** (the extension the user asked about). This report makes you fluent in every model, segment, OEM, EV player, regulation, and regional nuance.

Part 1: A memory framework for every brand × model

The "HBHTRSY + KEvOIAther" master mnemonic

Seven ICE giants and the EV trinity: **H**ero, **B**ajaj, **H**onda, **T**VS, **R**oyal Enfield, **S**uzuki, **Y**amaha + **K**TM (Bajaj-built) — and on EVs, **O**la, **A**ther, plus Hero Vida/Ultraviolette/Revolt at the premium end. Three "JV bikes" complete the picture under the **BHT** rule: **B**ajaj makes Triumph (UK), **H**ero makes Harley-Davidson (US X440), **T**VS makes BMW Motorrad (German G310 series).

The displacement ladder (the single most useful mental model)

Every segment has at least one model from each major OEM. Memorising the ladder gives instant recall:

cc bracket	Anchor models you must know
100–110	Hero HF Deluxe / Splendor Plus, Honda Shine 100/Livo, Bajaj CT/Platina, TVS Sport/Radeon/Star City, Honda Activa 110, TVS Jupiter 110, Hero Pleasure+
125	Honda Shine 125/SP 125, Bajaj Pulsar 125/N125/Freedom 125 CNG, Hero Glamour/Super Splendor/Xtreme 125R, TVS Raider 125, Honda Activa 125/Dio 125, Suzuki Access 125, TVS Jupiter 125, Yamaha Fascino/RayZR
150–200	Bajaj Pulsar 150/N160/NS200/RS200, TVS Apache RTR 160/180/200 4V, Hero Xtreme 160R/Xpulse 200, Honda Unicorn/SP160/Hornet 2.0/CB200X, Yamaha FZ/MT-15/R15, Suzuki Gixxer 155, KTM Duke/RC 160-200
250–310	Bajaj Pulsar N250/F250, Apache

cc bracket	Anchor models you must know
	RR310/RTR310/RTX300, Hero Xtreme 250R, Honda CB300F, KTM 250 Duke/RC 390, Suzuki Gixxer 250, Yamaha MT-03/R3
350	All Royal Enfield 350s, Honda CB350 family, Triumph Speed T4 350, downsized Pulsar NS400Z (post-GST 2.0)
400–450	Triumph Speed/Scrambler 400, Hero Mavrick 440/Harley X440, RE Himalayan 450/Guerrilla 450, KTM Duke/RC 390/390 ADV
650+	RE 650 twins (Interceptor, Continental GT, Super Meteor, Shotgun, Bear, Bullet 650), Honda CB650R/Hornet 750, Suzuki GSX-8R/Hayabusa, KTM 890+/1290+/1390

Naming-pattern logic — decode any model in 5 seconds

Bajaj Pulsar is the trickiest; learn this and the rest are easy. **NS** = Naked Sports (KTM-derived liquid-cooled streetfighter: NS125/160/200/400Z); **RS** = Race-Sports (faired RS200); **N** = New-gen naked roadster (N125/N150/N160/N250); **F** = New-gen Faired sport (F250); **Z** suffix = Zenith / top-tier; classic numbers (125/150/180/220F) are the original DTS-i lineage. Mnemonic: "*NS naked, RS race, N new, F faired, Z zenith.*"

Hero Splendor ladder: Plus → Plus Xtec (digital cluster, Bluetooth) → Xtec 2.0 → iSmart (i3s start-stop) → Super Splendor (125cc). HF Deluxe is the cheaper sister.

TVS Apache: **RTR** = Racing Throttle Response (naked); **RR** = Race Replica (faired flagship, BMW co-developed); **4V** = 4-valve head; **RTX** = ADV.

Royal Enfield uses pure displacement + heritage moniker. The **350-450-650 pyramid**: 350 = J-platform (**HBCMG** = Hunter, Bullet, Classic, Meteor, Goan Classic); 450 = Sherpa engine (**SHG** = Scram, Himalayan, Guerrilla); 650 = parallel twin (**ICSSB** = Interceptor, Continental GT, Super Meteor, Shotgun, Bear; plus new Bullet 650 and Classic 650). EV is **Flying Flea** (C6/S6).

Honda: Shine (mass commuter), **SP** = Super Performance, Unicorn (premium 160), **CB** = City Bike (global Honda nomenclature since 1959), **CBR** = CB Racing (faired), **NX/XL** = ADV, **H'Ness** = Highness (premium classic), **RS** = Road Sport.

Yamaha: **FZ** = Fazer naked; **R/YZF-R** = Racing (R15/R3/R7/R1); **MT** = Master of Torque (hyper-naked); **XSR** = Xtreme Sport Retro; Aerox = sport scooter; Fascino/RayZR = lifestyle.

KTM: Duke = naked; **RC** = Racing Cup (faired); Adventure with **R/X/S** suffixes (R = rally, X = entry, S = street-touring); SX/SX-F/EXC = pure motocross; Super Duke/Super Adventure = 1290+/1390 flagships.

Segment-tree categorisation (memorise this and you have the entire industry)

Eleven buckets cover everything: (1) Entry commuter 100–110cc, (2) Executive commuter 125cc,

(3) Premium commuter/sports 150–200cc, (4) Sports/performance 200–400cc, (5) Premium big-bike 400cc+, (6) Cruiser/modern classic 350cc+, (7) Adventure/off-road, (8) Scooter 100–110cc, (9) Scooter 125cc, (10) Premium scooter 150cc+/maxi, (11) EV 2W (split into entry, mid, premium scooters + EV motorcycles). The **JV trio** (Triumph 400/Harley X440/BMW G310) sits across segments 4–5; KTM occupies all of 3–7.

EV trinity and pure-play EV brands

For EV scooters, remember "**OAT for daily Bread**" — **Ola**, **Ather**, **TVS** lead by volume; Bajaj Chetak + Hero Vida + Honda Activa-e + Suzuki e-Access challenge. Pure-play EV motorcycle brands: **Revolt** (RV1/RV400, mass), **Ultraviolette** (F77 Mach 2 premium ₹3-4L), **Oben Rorr** (mid-premium), **Ola Roadster X** (mass), and **Royal Enfield Flying Flea C6** (launched April 2026 at ₹2.79L, retro EV).

Part 2: Motorcycle segment dominance

India sold **13.06 million motorcycles** in FY26 (+6.6%). The pyramid by volume: entry 100–110cc still dominates but is shrinking (46% of motorcycle volumes, down from 48.4% in FY24); 125cc is the fastest-growing commuter bracket; 150–200cc premium sells ~17 lakh units; 350cc modern classic is owned by Royal Enfield with **>80% category share**.

Top 10 best-selling 2W models in India (FY25 retail, Vahan)

Rank	Model	FY25 Units	YoY
1	Hero Splendor (Plus + variants)	33,98,449	+6.2%
2	Honda Activa (110+125)	25,20,520	+11.8%
3	Honda Shine (100+125)	18,91,399	+27.5%
4	Bajaj Pulsar (all)	13,25,816	-6.0%
5	TVS Jupiter (110+125)	11,07,285	+31.1%
6	Hero HF Deluxe	9,71,119	-6.1%
7	Suzuki Access 125	7,27,458	+14.6%
8	TVS XL100 (moped)	5,01,813	+4.2%
9	TVS Apache (RTR series)	4,46,218	+18.0%
10	Bajaj Platina	4,38,740	-12.7%

These ten alone equal **68% of the entire industry**. The Hero Splendor sells **2.5–3.1 lakh units a month** (peaked at 3,11,698 in August 2025) and has been the world's best-selling motorcycle for two decades.

Entry commuter (100–110cc): Splendor's unbroken throne

Hero Splendor Plus dominates with ~**50% segment share**. It wins on five reinforcing dimensions: 30+ years of brand legacy as "World's No.1 motorcycle," class-leading **70+ kmpl real-world fuel economy** (Xtec 2.0 ARAI: 73 kmpl), low ₹73K–80K price, **6,000+ dealer/service touchpoints reaching the deepest rural India**, and the highest resale value in the industry. Cumulative Splendor sales now exceed **9.5 crore units**. HF Deluxe (₹56K–68K) acts as a strategic moat preventing leakage to Bajaj CT/Platina. The segment is shrinking — buyers are premiumising to 125cc — but Hero's dominance here is still unassailable.

Executive commuter (125cc): Honda Shine eats the segment

Honda Shine 125 sells **1.5–1.7 lakh/month** and Shine total volumes (100+125) jumped 27.5% in FY25 — the biggest commuter-segment gainer. The recipe: **smoother engine refinement vs Splendor**, comparable mileage (~55 kmpl), the Honda reliability halo, and a marginally premium feel. Hero's Glamour, Bajaj's Pulsar 125, TVS's Raider 125, and Honda's own SP 125 round out the segment. The 125cc band is where Hero is structurally vulnerable — Honda gained ~4 lakh units in FY25 directly from Hero territory.

Premium 150–200cc: Apache vs Pulsar trench warfare

This ~17 lakh-unit segment is the most contested. **TVS Apache** led FY25 with **4.46 lakh units (+18%, ~30% segment share)** thanks to sporty styling, RTR feature richness and competitive pricing. **Bajaj Pulsar** counter-punched — March 2026 saw Pulsar regain #1 with **55,360 units (+59% YoY)** after the Pulsar 180 relaunch. Honda Unicorn surged ~50% YoY (Mar'25: 29,363 units), Yamaha hit 41,651 in March 2026 (+52.7%). Hero Xtreme is the structural laggard, declining 20–50% YoY in many months despite the Xtreme 160R and 250R refreshes.

Sports 200–400cc: where Bajaj, KTM and the JV bikes live

KTM Duke 200/250/390 combined sell **5–7K/month (Duke 250 leads)**. ~~Bajaj Pulsar N250/NS400Z, TVS Apache RR310~~ (2K/month), Yamaha R15 (6–8K/month, ~70–80K/year cumulative), Triumph Speed 400 + Scrambler 400X (15K cumulative by Feb 2024, ~3–5K/month combined), and Harley-Davidson X440 (10K+ by Feb 2024, ~2–3K/month) all share this stage. The April 2026 GST 2.0 reset forced Bajaj to **downsize Pulsar NS400Z, Dominar 400 and the Triumph 400 range to 349cc** to stay in the 18% bracket.

Cruiser/modern classic 350cc+: Royal Enfield's monopoly

Royal Enfield captured ~**94% of the 250–350cc segment** with FY25 total sales of **1,009,900 units** (first crossing 1 million; +37% exports to 1.07 lakh). The model split (Jan 2026): Classic 350 (34,981, +14.4%), Bullet 350 (22,345, +16.6%), Hunter 350 (20,329, +27.7%), Meteor 350 (9,921). The Classic 350 alone produces ~30–40K/month. **Why nobody can break this:** heritage (125-year brand), the J-series engine's signature "thump," unchanged retro aesthetics, ₹1.85L sweet-spot pricing, the Motoverse/Himalayan Odyssey community, and the fact that Honda's CB350/H'Ness sells just **1,170–1,317 units a month** despite better mileage and tech. RE's EBITDA margin runs at ~24–25%, among the world's highest for any motorcycle business. GST 2.0's 40% slab on >350cc bikes did chip 400bps off RE's 250cc+ share in FY26 as Triumph 350 and Hero Mavrick 440 nipped at the edges.

Adventure: tiny but symbolically critical

RE Himalayan 450 (Sep'25: 3,939 units, exports tripled YoY), Hero Xpulse 200 (1.3–2.8K/month), KTM Adventure 250/390 (~2–3K/month), Suzuki V-Strom SX 250, and the new TVS Apache RTX 300 (Oct 2025) define this segment. Volumes are small but margins and brand-halo are huge.

Part 3: Scooter segment dominance

Scooters now account for ~37% of the 2W market (up from 32% in FY24), growing at 18.5% in FY26 vs motorcycles at 6.6%. **Honda holds ~38–39% scooter market share** (down from 45% as TVS and EV players ate share); Honda Activa alone sold ~28.45 lakh units in FY26 — twice the volume of #2 TVS Jupiter.

The Honda Activa irreplaceability problem

The Activa has dominated for **24 years and counting** with >3 crore cumulative units since launch in 2001. In a single fiscal year (FY25) it sold 25.2 lakh units; H1 FY25 alone moved 15.8 lakh Activas. Its moat is sociological as much as engineering: it's the **default scooter brand in India** — gender-neutral, age-neutral, the first scooter most families buy, the highest resale value of any 2W in the country, and a design conservative enough to never look dated. Honda's silent metal-body engineering, its 7,000+ touchpoints, and the Activa's bulletproof air-cooled engine reinforce a self-perpetuating preference cycle. This is the single hardest moat to break in Indian autos.

TVS Jupiter: the genuine challenger

Jupiter (110+125) hit **11.07 lakh in FY25 (+31%)** — the highest growth rate in the top-10. August 2025 Jupiter alone moved **1,42,411 units (+59.4% YoY)** post-2024 redesign, narrowing on Activa faster than any model in 20 years. Suzuki Access 125 (FY25: 7.27 lakh, +14.6%) holds the premium 125cc throne. Hero's Pleasure+, Maestro Edge and Destini 125 are structurally declining; Hero's scooter strategy is now defensive while it pivots to the EV Vida brand and the Xoom maxi-scooter range.

110 vs 125 split and the premium niche

Roughly **110cc = 40–43%**, **125cc = 50–52%** of scooters by volume; premium/EV makes up the balance. The premium scooter niche — Aprilia SR/SXR, Yamaha Aerox 155, Vespa, TVS Ntorq Race XP, the new TVS Ntorq 150 (launched 2025, India's quickest scooter), Honda Dio 125 — together sell <5K/month in the premium-imported tier. Yamaha Aerox 155 grew 16% in H1 FY26 (12,551 units), suggesting the sport-scooter category is finally finding traction with younger urban buyers.

EV scooter leaders (CY2025 = 12.80 lakh registrations on Vahan)

Rank	OEM	CY25 Units	Share
1	TVS iQube/Orbiter	2,98,967	23.5%
2	Bajaj Chetak	~2,69,000	21–25%
3	Ather (450X/Rizta)	~2,00,000	~16%

Rank	OEM	CY25 Units	Share
4	Ola Electric (S1 family)	1,99,000	15.6% (collapsed from 30% FY24)
5	Hero Vida (V1/V2/VX2)	~1,00,000+	~8%
6	Greaves Ampere	~60,000	~4%

The TVS iQube became **India's 5th best-selling scooter overall** in January 2026 (37,520 units) — beating Ntorq 125. The narrative for FY26 is clear: legacy OEMs decisively overtook EV-native startups.

Part 4: OEM-by-OEM strategic deep dive (2026–2028 roadmap)

Bajaj Auto — premiumisation, exports, and now KTM ownership

FY25 revenue **₹50,000 cr** (+9%), EBITDA margin **20.2%** (best in class), PAT ~₹8,000 cr, FY25 retail share 11.4% but **24% in 125cc+ motorcycles**. FY26 9-month total volumes ~5.12M (+10%); Q3 FY26 revenue ₹15,378 cr (+21%), PAT ₹2,759 cr (+25%). Bajaj is India's **#1 2W exporter** (1.7M FY25, ~40% of all 2W exports). Pulsar drives ~67% of monthly volumes.

The **landmark November 18, 2025 deal**: Bajaj Auto International Holdings completed acquisition of full control of Pierer Bajaj AG, holding **74.9% controlling stake in Pierer Mobility AG (renamed Bajaj Mobility AG) and KTM AG**, after a €800M cash injection that rescued KTM from bankruptcy. Approved by the Austrian Takeover Commission (Oct 23, 2025) and EU Commission (Nov 10, 2025). KTM, Husqvarna and GasGas are now Bajaj step-down subsidiaries.

Roadmap 2026–2028: April 2026 saw Triumph 350 range launches (Speed 400 at 349cc ₹2.31L, Scrambler 400 X/XC, Thruxton 400, Speed T4). Triumph Bonneville 400 is expected late 2026. **Larger 700cc Bajaj-Triumph products are in discussion post-2026**. Updated 990/1390cc KTMs (delayed from 2025) and the new KTM Duke 160 are 2026 launches. Chetak's 35-series is rolling out (2.5/3.5 kWh, ₹91K–1.27L) and exports to 12 markets started H1 FY26. **An electric motorcycle is under development**. Freedom 125 CNG variants and international launches of the CNG bike are planned.

Why Bajaj has higher revenue per unit than Hero: Bajaj effectively exited 100cc commuter in 2018, pivoting to Pulsar 125+ and high-margin exports. Result: Bajaj's per-unit revenue is ~2x Hero's, EBITDA margin 20%+ vs Hero's 14–15%.

TVS Motor — the most diversified player

FY25 revenue ₹36,251 cr (+14%), Q2 FY26 record revenue ₹14,051 cr (+25%) with EBITDA at **12.7%**. FY26 wholesale share **21.4%, fastest grower at +23% YoY**, with 56.70 lakh total units. **Premiumisation** is striking: 73% of mix is now above 110cc vs 53% in FY20.

TVS's diversification is unmatched: motorcycles + scooters + **#1 in EV scooters (24.3% share, 314,513 units FY26)** + 3-wheelers + **Norton Motorcycles (UK, acquired 2020)** + the BMW Motorrad partnership (G310 series since 2016) + Switzerland's SEMG/EGO e-bikes + Indonesia

plant + ION Mobility in SE Asia. Capex jumped from ₹1,360 cr (FY24) to ~₹2,440 cr (FY25), with overseas investments now 87% of standalone net worth.

Roadmap 2026–2028: Apache RR 450/RTR 450 (BMW-derived 420–450cc parallel-twin, ~48 PS, EICMA 2026 showcase, India ~₹4.20L) — direct rival to Aprilia RS 457. **BMW F 450 GS** launches end-2025/2026, manufactured at Hosur. **Norton revival:** 6 new Norton models over 3 years; 4 launching in EU by summer 2026; a 1200cc inline-4 superbike was unveiled at EICMA 2025; Norton USA LLC was incorporated in Delaware November 2025. iQube ST 5.3 kWh launched (212 km IDC range) with BaaS from ₹839/month. Jupiter 125 EV expected 2026–27. Orbiter EV launched August 2025. King Kargo HD EV (logistics 3W) Q2 FY26.

Hero MotoCorp — defending volume, building premium

FY26 wholesale 64.69L (+9.7%) with **24.4% share (#1)**; H1 FY26 revenue ₹21,705 cr, Q2 EBITDA margin **15% (+55 bps)**. Hero retains the #1 retail crown but Honda has narrowed the wholesale gap to barely 0.4 percentage points. Vida EV market share hit a **record 11.7% in Q2 FY26** (up from ~5% FY25). Festive Aug-Nov 2025 outpaced industry by 40 bps.

The 2030 "4S" strategy (Speed, Scale, Synergy, Simplification) targets premium leadership and EV leadership. Hero now has 700+ Hero 2.0 store upgrades and is expanding Premia stores. **New CEO Harshavardhan Chitale takes over January 5, 2026** (from Niranjana Gupta).

Key partnerships: Harley-Davidson 440cc platform spawned both X440 (₹2.39–2.89L premium positioning) and the Hero Mavrick 440 (₹1.99–2.24L); shared componentry; future joint models in pipeline. The **Hero-Zero Motorcycles tie-up** (USD 60M equity, March 2023) yields a co-developed middleweight performance EV motorcycle for FY26–27 launch, with **four models planned**. Hero is also Ather Energy's largest shareholder (33%+ stake), with 2,500 charging stations co-deployed.

Roadmap 2026–2028: Karizma XMR 250 launch H1/H2 2026 (~₹2L); Mavrick 440 update (USD fork, TFT) in 2026; Vida VX2 EVOOTER expansion to Europe (announced EICMA 2025); **Vida NOVUS (NEX1/2/3) concepts** and **Vida DIRT.E off-road EV concept**; Xpulse 210 Dakar Edition, Xoom 160 Combat Edition expected 2026. **FY26 capex ₹10–11bn.**

Honda HMSI — quietly closing on Hero

FY26 wholesale 63.69L (+9.2%) with **24.0% share (#2)** — only 1 lakh units behind Hero. March 2026 alone: 5.49L (+29% YoY). Honda crossed **70M cumulative motorcycle production in India** in May 2025 (25th anniversary). Activa sells ~28.45 lakh/year. Honda is **#2 overall but #1 in scooters** because Activa dominance compensates for Honda's historically weaker commuter motorcycle distribution — but the Vithalapur plant is being retooled from scooters to motorcycles + EVs to drive a 50:50 mix by FY26 and challenge Hero directly.

Roadmap 2026–2028 (the most aggressive premium plan from Honda in years):

- **Honda Rebel 300** (286cc bobber on CB300R platform, late 2025/2026, under ₹2.4L) — direct attack on RE Meteor 350.
- **Honda 500cc India-specific projects** (codenames MLHJ, MLWA; trademarks GB500S filed): ~500cc single-cylinder on CB350 H'Ness platform, 2026–27 launch — designed to occupy the void left by RE's UCE 500.

- **Honda ADV 160 maxi-scooter** (codename K4LA): 157cc liquid-cooled, 2026 launch ~₹1.55L; rivals Aerox 155, Xoom 160.
- **Honda Rebel 500** already launched May 2025 at ₹5.49L through BigWing Topline.
- **E-Clutch big bikes** (NX500, CB750 Hornet, XL750 Transalp) for India.
- **Activa e: scaling** post-Feb 2025 launch (Bengaluru/Delhi/Mumbai), with the Mobile Power Pack swappable battery network. FY26 target: 30K EV units (4x FY25).

Royal Enfield — global ambition meets India dominance

FY25 RE revenue dominant within Eicher's ₹18,870 cr (+14%); FY25 EBITDA margin ~25%. Sales **1,009,900 units (record, first crossing 1M)**; FY26 wholesale **12.39L (+22.6%)**. >80% category share in 250cc+; H1 FY26 exports surged 49% YoY to 78,548. **125th anniversary year (FY26)**.

Six overseas CKD plants (Thailand 2024 — 30K capacity, Brazil/Manaus, Argentina, Colombia, Bangladesh 2024, Nepal). **Brazil is on track to become RE's largest non-India market**. Premium expansion across Bear 650, Classic 650, Bullet 650, Shotgun 650, Goan Classic 350.

Roadmap 2026–2028:

- **Flying Flea C6 launched April 10, 2026** at ₹2.79L (₹1.99L with BaaS); deliveries from May 2026 — RE's first EV.
- **Flying Flea S6 (Scrambler EV)** launches 2026, showcased at EICMA 2025 + Motoverse 2025.
- **Bullet 650** unveiled EICMA 2025 in Canon Black/Battleship Blue, India 2026.
- **Himalayan 750** is the rumored flagship: pre-production prototype shown at EICMA 2025; production version EICMA 2026; **India launch 2027** (~₹4.5L expected, 50–55hp on a bored-out 650 engine).
- **Continental GT-R 750/Interceptor 750** in 2027.
- **Multiple additional EV models** planned across 350/450 platforms.

Suzuki Motorcycle India — quietly building scale

FY26 sales **14,39,415 units (+15%, highest-ever)**; domestic 11.74L (+12%), exports 2.65L (+26%). India contributes ~50% of Suzuki's global motorcycle volumes. **10 million cumulative production** crossed April 2026 (doubled in 4 years). The Access 125 is the segment-defining 125cc scooter (FY25: 7.27L, +14.6%).

Roadmap: e-Access EV scooter (launched Jan 2026 at ₹1.88L, 854 units in Jan-Mar 2026); next-gen Gixxer 150 & Gixxer 250 in H2 2026/early 2027 with TFT, USD forks, LED; new Burgman Street launched 2025; flex-fuel rollout (GIXXER SF 250 FFV E85-compliant). **New Kharkhoda (Haryana) plant** (~₹1,200 cr, 750,000 units/year, operational 2027). Carbon neutrality target: 2070.

Yamaha Motor India — premium niche player

FY26 sales **10.40L (+3.79%)** — slowest grower among majors. Plant capacity 1.5M units against ~1M production (significant headroom). The "Call of the Blue" strategy targets sport-premium, with a 2030 goal of **25% of premium-segment share** (from 17%) and India as Yamaha's #2 export hub by 2030.

Roadmap: Yamaha Aerox-E (unveiled Nov 11, 2025, India launch Q1 2026 ~₹2.90L; 9.4 kW, 48 Nm, dual 3 kWh swappable batteries, 106 km range). Yamaha EC-06 launched Feb 2026 at ₹1.67L via the **Yamaha-River Mobility partnership** (Hoskote facility, River Indie underpinnings, ~160 km range). YZF-R3/MT-03 reportedly being replaced by next-gen platforms. R7, MT-07, MT-09 confirmed for end-2025/2026. **10 new products by end-2026.**

Part 5: Electric 2-wheeler deep dive

The market in numbers

FY26 E2W sales hit **14,01,663 units (+22%)**, with penetration at **6.54%** — far short of NITI Aayog's 80%-by-2030 target but accelerating. March 2026 alone saw **1,90,941 units (+45% YoY, record)**, boosted by IPL marketing, the Iran-oil crisis, Gudi Padwa/Ugadi, and a PM E-DRIVE deadline rush. December 2025 EV share hit 7.40%; March 2026 reached **9.79%**.

FY26 brand-wise E2W market share

Rank	OEM	FY26 Units	Share	YoY
1	TVS	3,41,471	24%	+44%
2	Bajaj	2,89,323	21%	+25%
3	Ather	2,39,124	17%	+82%
4	Ola Electric	1,64,294	12%	-52%
5	Hero Vida	1,44,313	10%	+196%
6	Ampere	61,651	4%	+51%
7	Bgauss	26,200	~2%	+51%
8	River	22,350	~1.6%	+426%
9	Kinetic	11,557	<1%	+37%
10	Revolt	10,443	<1%	-10%

Top 5 OEMs = 84% share. The narrative shift is decisive: **TVS overtook Ola on a fiscal-year basis for the first time in FY26** (after Ola was #1 in FY23, FY24, FY25), and TVS led in 11 of 12 months in FY26 (losing only October to Bajaj).

Key models and pricing

Ola Electric runs Gen 3 platform: S1 X (2/3/4 kWh, ₹76K–1.06L), S1 Air, S1 Pro Gen 3/Pro+ 5.2 kWh with 4680 Bharat Cell (₹1.55L), Roadster X motorcycles (2.5/3.5/4.5 kWh, ₹88K–1.40L),

Roadster Pro (in development, 16 kWh, claimed 579 km, ~₹2.50L), Diamondhead concept supersport.

Ather sells the 450S (₹1.18L), 450X (₹1.41–1.55L), 450 Apex (₹1.95–2L, 100 km/h), Rizta S/Z (family scooter, ₹1.10–1.45L). The **EL platform** (cheaper, 3–4 models for commuter/maxi/sport) is the big FY27 launch. Ather Halo helmets and AtherStack 7.0 (voice, pothole alerts, crash detection) launched 2025.

TVS iQube family runs 2.2/3.1/3.5/5.3 kWh (₹94K–1.62L); the iQube ST 5.3 kWh delivers 212 km IDC. **TVS rolled out BaaS across the full EV portfolio on March 12, 2026** — a strategic move to make the iQube starter accessible at ₹59,999.

Bajaj Chetak 35 Series is the new platform: C2501 (₹91,399, 2.5 kWh, 113 km, Jan 2026), 3501/3502 (₹1.20–1.27L, 153 km). Steel chassis, IP67 battery, MAPPLS navigation, 35L boot.

Hero Vida pivoted decisively in 2025 with VX2 Go (₹99,490 / ₹59,490 with BaaS, 2.2 kWh, 92 km) and VX2 Plus (₹1.10L / ₹64,990 BaaS, 3.4 kWh, 142 km, two removable batteries you can carry indoors). The 196% YoY growth makes Vida the fastest-growing legacy-OEM EV brand.

Ultraviolette F77 Mach 2 (Recon 10.3 kWh, 323 km IDC, 155 km/h, ₹3.99L) and the newer SuperStreet, X-47 Crossover (Desert Wing variant), and upcoming **Tesseract scooter** + **Shockwave** electric supermoto (Q1 2026) define the premium EV motorcycle space.

Honda's late entry stumbled badly: Activa e: (₹1.17–1.52L, swappable batteries, 102 km) and QC1 (₹90,022, fixed battery, 80 km, 50 km/h) sold a combined **3,856 units in all of FY26** despite Honda's brand power. High pricing vs petrol Activa (~₹85K), limited swap network, and underpowered QC1 explain the flop.

Suzuki e-Access (Jan 2026 launch, ₹1.88L) sold 854 units in three months; **Yamaha EC-06** (Feb 2026, ₹1.67L) 36 units in its first month. The Japanese trio's combined FY26 EV total: just **4,746 units (0.3% share)**.

Battery, charging, manufacturing

NMC dominates today (Ola 4680 Bharat Cell, Ather, TVS, Bajaj); LFP is rising (Ampere Nexus, Bgauss, some TVS variants). Ola announced 46100 LFP cell readiness in FY26. **Ola's Krishnagiri Gigafactory** is scaling 2.5 GWh → 6 GWh (expandable to 20 GWh in 2026, 100 GWh by 2030); Ola received **₹366.78 cr PLI-Auto incentive**. **Ather Factory 3.0 in Bidkin, Maharashtra** (Phase 1 May 2025–Mar 2027) takes total capacity to **1.42 million units/year** with the existing Hosur plants.

Ather Grid is India's largest 2W fast-charging network with **>2,500 chargers** and a target of 5,000 by 2027. PM E-DRIVE allocates ₹2,000 cr for charging — including 48,400 chargers for 2W/3W. Battery-as-a-Service is exploding: TVS, Hero Vida, Ather Rizta, Bajaj all offer it; Bounce and Sun Mobility run swap networks; Honda Power Pack e: serves the Activa e:.

Profitability and the Ola Electric crisis

Most EV-natives remain loss-making. Ola Q3 FY26 net loss ₹487 cr, revenue –55% YoY to ₹470 cr; deliveries crashed 61% YoY to 32,680 units. The IPO listed at ₹76 in August 2024, hit ATL ₹33.81 in November 2025, and traded around ₹25 in early March 2026 — ~~67% below issue~~. The ~~**Bhavish Aggarwal vs Kunal Kamra incident**~~ (Oct 2024 onwards) — ~~flame wars over service-~~

centre quality, "bouncers at service centres" allegations, paid-tweet revelations — accelerated brand damage. Maharashtra government sought closure of 121 Ola stores in April 2025; SFIO investigations are ongoing on multiple FAME-II beneficiaries; Ola laid off 5% of its workforce (620 employees) in January 2026.

Ather IPO contrast: Listed May 6, 2025 at ₹328 (+2.18% over ₹321 issue), then rallied to ₹620 by October 2025, market cap ₹23,630 cr. Strong post-listing performance; Ather is now growth-and-profit credible.

Subsidy challenges

FAME-II misuse case: ~₹469 cr clawback sought from Hero Electric (₹133.48 cr), Ampere/Greaves (₹124.91 cr), Okinawa (₹116.85 cr), Revolt, Benling, AMO, Lohia. Hero Electric and Benling debarred March 27, 2024; SFIO raids December 2024 over alleged ₹297 cr fraud. Hero Electric and Benling have laid off >80% of permanent staff. **GST 2.0 cut ICE 2W rates**, narrowing the EV-ICE price differential. **Rare-earth magnet supply shortages** in August 2025 hit Bajaj and TVS EV production — a major FY26 headwind.

Part 6: Geographic, demographic and behavioural patterns

Urban-rural split and the scooter-vs-motorcycle dichotomy

Rural India accounts for **40–55% of 2W sales** (FADA October 2024 festive: rural 55.5%, urban 44.5%). FY25 rural growth (+8.39%) outpaced urban (+6.77%). Rural buyers prioritise fuel economy (60–80 kmpl), durability, ground clearance for poor roads, payload capacity (family of 4 + load), and kick-start reliability — which is exactly why **100–110cc commuter motorcycles dominate rural India** (Splendor, HF Deluxe, Platina, Star City).

Urban India inverts the priority stack: stop-go traffic favours CVT automatics, boot space matters for groceries/laptops, unisex design unlocks the women's market, shorter 10–15 km commutes don't need a geared engine, and EV technology maps perfectly to the scooter form factor. Hence **scooters are >50% of metro 2W mix**. Premium motorcycles (Royal Enfield 350+, KTM, Triumph, Pulsar NS, R15) also concentrate in cities.

Regional dominance

Region	Strong OEMs	Key trends
North (UP, Bihar, Punjab, Haryana, Rajasthan, MP, Delhi)	Hero, Honda	Splendor/HF Deluxe dominance; Royal Enfield iconic in Punjab/Haryana ; Delhi/Chandigarh growing premium
South (TN, Karnataka, AP, Telangana, Kerala)	TVS (Hosur HQ), Honda, Royal Enfield	Highest scooter penetration; Kerala = RE spiritual home ; TN = EV hub (Ola/TVS/Ather plants)
West (Maharashtra, Gujarat,	Bajaj (Pune HQ), Honda	Premium segment fastest-

Region	Strong OEMs	Key trends
Goa)		growing; Maharashtra #1 in EV 2W (2.12 lakh FY25)
East (WB, Odisha, Bihar, Jharkhand)	Hero, TVS	Lower per-capita 2W density; Bihar volume large but value low
North-East	Hero, TVS, Royal Enfield	RE strong (terrain favours); 5% of EV market

UP is the single largest state market with **8.62 lakh units in Q3 FY26 (12.18% all-India share)**. Top 4 states ≈ 40% of total 2W sales. North leads at 20.35%, South 19.32%, West 16.32%. EV 2W is concentrated: Maharashtra (2.12L FY25, +15%), Karnataka (1.48L, -1%), TN (1.19L, +36%), UP (1.03L, +91%).

Demographics — age, gender, occupation

Age cohorts: 18–25 youth gravitates to premium/sport (RE 350, Pulsar NS, KTM Duke, R15, Apache, Ntorq). 25–40 is the largest commuter cohort (Splendor, Activa, Jupiter, Shine, Access). 40+ replaces with higher-cc commuters or RE Classics.

Women buyers are ~25–30% of scooter buyers — Honda's HMSI data shows **75,000 new women buyers per month** for Activa-class scooters. Honda Activa, TVS Jupiter, Suzuki Access, Hero Pleasure+ are the top female-buyer choices; Yamaha Fascino and TVS Scooty Zest target women specifically.

Gig economy is the breakout EV segment: 7.7M gig workers today, projected 23.5M by 2029-30 (NITI Aayog). TVS holds **41.6% of the e-2W gig market**, Yulu 32%, Ather 10.5% (Borzo data). Quick-commerce GMV growth from \$500M (FY22) to \$3.3B (FY24) → projected \$10B by 2029 directly translates to E2W demand. Yulu's fleet is 100K+ vehicles by Nov 2025; Zyp 22K+ EVs.

Financing and festive seasonality

Financing penetration is ~55–65% of 2W sales (CRIF High Mark FY25). 2W loan originations: ₹99,543 cr (FY24) → **₹1,10,056 cr (FY25)**, +10.6% (slowing from +25.1%). NBFCs dominate: **68.1% market share by value, 70% by volume**. Average ticket size has shifted to **₹75K+** as vehicle prices rose. 2W loans have the highest "New-To-Credit" share of any retail loan product — **49.2%** — making 2W financing India's mass-market gateway to formal credit.

Top financiers: **Bajaj Finance/Bajaj Auto Credit (largest), HDFC Bank, Hero FinCorp (captive), TVS Credit (captive), Shriram Finance, ICICI, Muthoot Capital (rural focus), L&T Finance, Mahindra Finance**. Interest rates run 9.7–24% across the market; Bajaj Auto Credit's captive rate is 6.65–13.50%.

The **42-day festive window (Navratri-Dussehra to Diwali-Dhanteras)** delivers ~30–40% of annual 2W sales. October 2024 alone moved 21.64 lakh units wholesale (record, +14% YoY). November 2024 added 4.8 million weddings driving wedding-season demand. The single biggest catalyst of FY26 was the **GST 2.0 rate cut (Sept 22, 2025)**: H1 FY26 (Apr-Sep'25) was nearly flat at +0.7%, but Oct'25–Feb'26 surged +22% YoY, driving the industry to its all-time record.

Replacement vs first-time buyer mix

Tier-1 cities: financing >70%, replacement cycle 4–5 years. Tier-2/3: financing ~55–65%, replacement 6–8 years. Rural: cash-heavy (financing 35–45%), first-time buyers >50%, ownership periods 8–10+ years. The **2W:4W ratio in India is ~80:20** — 75% of vehicles are 2W; 260M+ 2Ws are registered.

India vs Asian peers — penetration headroom

India runs at **~150–160 2W per 1,000 people**, far below Indonesia (430), ~~Vietnam~~ (530), and Thailand (~590). >50% of Indian households own a 2W vs 85%+ in those Asian peers. CRISIL forecasts 8–10% volume growth (7–8% domestic + 11–12% exports) and projects the industry beyond the FY26 record peak through 2028–2030. **2W exports** more than recovered in FY26 to **5.18 million units (+24%)**, with Bajaj Auto holding ~40% export share.

Part 7: The complete regulatory and policy landscape

The user's specific question — answered

The subsidy "supposed to end March 31 but extended till June" is the **PM E-DRIVE 2-wheeler subsidy**. Original e-2W demand-incentive end date: **March 31, 2026**. Per amendment by the Ministry of Heavy Industries (and confirmed by the official portal pmedrive.heavyindustries.gov.in and Autocar India), it has been **formally extended to July 31, 2026** — a four-month extension. The broader scheme tenure was extended to March 31, 2028 for buses, e-3W rickshaws/carts, e-trucks and charging infrastructure components. As of January 27, 2026: **22.12 lakh EVs** sold under PM E-DRIVE (19.19 lakh e-2W + 2.93 lakh e-3W); ~₹1,703 cr reimbursed against the e-2W earmark of ₹1,772 cr. The PMO is reviewing further extension proposals into FY27 amid industry lobbying citing ₹6,000–12,000 cost impact per vehicle.

EV incentive timeline

FAME-I (April 1, 2015 – March 31, 2019, revised outlay ₹895 cr): ~2.78 lakh xEVs supported, of which ~1.51 lakh were 2W. Demand incentives ~₹360 cr disbursed; 520 charging stations sanctioned.

FAME-II (April 1, 2019 – March 31, 2024, revised outlay ₹11,500 cr after a ₹1,500 cr top-up January 2024): ~16.26 lakh vehicles supported (14.31 lakh 2W). Total demand incentive ₹5,294 cr (Dec 2023). The 2W subsidy walked through three phases:

Period	Subsidy	Cap
Apr 1, 2019 – Jun 10, 2021	₹10,000/kWh	20% of ex-showroom
Jun 11, 2021 – May 31, 2023	₹15,000/kWh	40% of ex-showroom
Jun 1, 2023 – Mar 31, 2024	₹10,000/kWh	15% of ex-factory

The June 2023 cut was decisive: max effective subsidy fell from ~₹60,000 to ~₹22,500, prices rose ₹25,000–40,000, eligible 2W shrank from 9.89 lakh to 5.64 lakh. Eligibility required min 40 km/h

top speed, 80 km range, lithium battery, max ₹1.5L ex-factory price, AIS-156 certification, 3-year battery warranty.

The FAME-II misuse fiasco (~₹469 cr clawback) debarred Hero Electric, Okinawa, Ampere/Greaves, Benling, Revolt, AMO, and Lohia — all accused of falsely claiming local sourcing while importing motors, controllers and on-board chargers in violation of the **Phased Manufacturing Programme (PMP)**. The PMP, while controversial in execution, **directly built India's e-2W component ecosystem** — Sona BLW EV motors, Lucas-TVS controllers, Tata AutoComp, Napino — and forced massive localisation investments at Ola's Futurefactory and Ather's Hosur plants.

EMPS 2024 (April 1 – September 30, 2024, after extension): outlay ₹500 cr → revised ₹778 cr. **₹5,000/kWh, capped at ₹10,000 per e-2W**. Targeted 5.61 lakh EVs. Subsumed into PM E-DRIVE.

PM E-DRIVE (October 1, 2024 – original March 31, 2026, e-2W extended to July 31, 2026): outlay **₹10,900 cr** (FY25: ₹5,047 cr; FY26: ₹5,853 cr). Allocations: demand incentives ₹3,679 cr (e-2W/3W/ambulance/truck), e-buses ₹4,391 cr (14,028 buses in 9 cities), public charging ₹2,000 cr, e-trucks ₹500 cr, e-ambulances ₹500 cr, test agency upgrades ₹780 cr.

The 2W subsidy structure (verified, often misquoted):

- **Year 1 (Oct 1, 2024 – Mar 31, 2025): ₹5,000/kWh, capped at ₹10,000/vehicle** (NOT ₹10,000/kWh as sometimes reported).
- **Year 2 (Apr 1, 2025 onwards, now till Jul 31, 2026): ₹2,500/kWh, capped at ₹5,000/vehicle.**
- Max ex-factory eligibility: ₹1.5 lakh.
- Targets: 24.79 lakh e-2W, ~3.2 lakh L5 e-3W, 14,028 e-buses, 7,100 e-trucks. The L5 e-3W category was **closed December 26, 2025** after target achieved.

PLI schemes

Auto PLI (approved September 15, 2021, ₹25,938 cr over 5 years): two components — **Champion OEM** (BEV/H2 fuel cell vehicles) and **Component Champion** (Advanced Automotive Technology). Selected 2W OEMs: Bajaj, TVS, Hero, Eicher (RE), Piaggio. New entrants in 2W EV: Ola Electric, Axis Clean Mobility, Hop Electric. **Ather did NOT make the cut**. Bajaj is the only OEM with all 13 applications approved (Chetak + 3W). Ola Electric had 4 e-scooter models approved at 13–18% of sales value as incentive. As of November 30, 2025, **₹1,350.83 cr disbursed** to 82 companies; eligible sales ₹32,879 cr against the ₹2.31 lakh cr target.

ACC PLI for batteries (May 2021, ₹18,100 cr): 50 GWh target. Round 1 (March 2022) selected Ola Electric (20 GWh), Reliance New Energy Solar (5 GWh), Rajesh Exports (5 GWh), Hyundai Global Motors (20 GWh — later dropped). Round 2 (September 2024) added 10 GWh to Reliance. Conditions: 25% local parts within 2 years rising to 60% within 5 years; ₹225 cr/GWh investment. Direct investment expected: ₹45,000 cr. The government issued **show-cause notices for delays in December 2025** and is considering relaxing localisation deadlines.

Emission norms and how they shaped products

BS-IV → BS-VI (April 1, 2020): India's biggest emission jump (skipped BS-V per Supreme Court order). Required programmed fuel injection replacing carburettors, 3-way catalytic converters, OBD-1, evaporative emission control. Price impact +10–15% (**₹8,000–15,000 on commuters**). Killed **Bajaj CT100, Discover 110/125, Hero Splendor iSmart, Honda CB Shine SP, Yamaha Saluto** and many other carburetted 100cc variants. The 100cc segment shrank because the price gap with 110cc collapsed. Bajaj effectively exited 100cc Boxer for India entirely.

BS-VI Phase 2 / OBD-2 (April 1, 2023): Real driving emissions monitoring; ECU must detect simulated sensor faults; E20 fuel-compatible. Price impact +0.8–5% (Jawa-Yezdi raised 0.8–2%). Mostly software-driven — improved engine mapping, larger throttle bodies. ICRA puts the **cumulative 5–6 year price increase from BS-VI + ABS/CBS + insurance + raw materials at 45–50%**.

E20 ethanol blending policy (target 20% by 2025–26): material compatibility mandatory from April 2023, full E20 engine compatibility from April 2025. Models adapted: TVS Apache RTR 160 4V E20 (first), Bajaj flex-fuel concepts, Honda CB300F flex-fuel concept, TVS Apache RTR 200 4V E20, Suzuki GIXXER SF 250 FFV (E85-compliant).

Bajaj Freedom 125 CNG (launched July 5, 2024 at ₹95,000–₹1.10L) — the world's first production CNG motorcycle, born of the National Gas Grid expansion (City Gas Distribution rounds 9–11 covered 300+ districts) and PMUY/PNG push. 2 kg CNG tank under seat + 2L petrol auxiliary; 102 km/kg CNG, 65 km/L petrol; 330 km combined range; 26% lower CO₂. Rolled out in Maharashtra and Gujarat first (best CGD networks), then 88 cities by August 2024, 30,000 inquiries within first week. Volumes have moderated from a festive 12K/month peak.

Safety regulations

ABS mandatory >125cc: new models April 1, 2018; existing models April 1, 2019. **CBS for ≤125cc** mandatory April 1, 2019. **ABS for all 2W regardless of cc** is being mandated by MoRTH — cost impact on entry commuters significant; OEM transitions in progress. The 2018 ABS mandate killed **Bajaj Pulsar 150 Classic, Hero Achiever, Honda CB Unicorn 150, Suzuki GS150R** briefly.

AHO (Automatic Headlight On) mandatory April 1, 2017. **ISI helmets** mandatory June 1, 2021. **5-year third-party insurance** for new 2W mandatory September 1, 2018 (Supreme Court). **HSRPs** mandatory for all new vehicles since April 2019. **Low-speed EVs (<25 km/h, <250W)** exempt from registration and licensing.

State EV policies — quick reference

- **Delhi:** EV Policy 2020 (extended through March 2026; Policy 2.0 in draft). Currently ₹5,000/kWh cap ₹30,000 + scrappage ₹5,000–7,000; 100% road tax/registration waiver. Subsidies briefly suspended Oct 2024 → registrations crashed 85%; CM reinstated for purchases from Jan 1, 2025. **Draft 2.0 proposes ₹10,000/kWh (₹30K cap), ₹12,000/kWh for women drivers, ban on new CNG autos from Aug 15, 2025, 95% EV registration target by 2027.**
- **Maharashtra:** Subsidy raised to ₹25,000 in 2025 policy revision; #1 state in EV 2W (2.12

lakh FY25).

- **Karnataka:** First state EV policy (2017); 15% capital subsidy on manufacturing (supply-side focus); 100% road tax + registration waiver.
- **Tamil Nadu (revised 2023):** Hosur EV cluster (Ola Futurefactory, Ather, TVS); 100% road tax waiver, capital subsidies, electricity tariff concession; >₹50,000 cr investment commitments.
- **Gujarat 2021:** Highest subsidy at ₹10,000/kWh, max ₹20,000 (first 1.1 lakh buyers); 100% registration waiver, 50% MV tax exemption.
- **Telangana 2020:** 100% road tax + registration waiver for all EVs.
- **UP, Rajasthan, Kerala, Odisha, AP, Punjab, Meghalaya:** range of waivers and per-kWh subsidies; full registration-fee waiver applies pan-India under MoRTH August 2021 notification.

Tax structure

GST on ICE 2W: post Sept 22, 2025 GST 2.0 — **18% on ≤350cc, 40% on >350cc** (previously a flat 28% + cess). **GST on EV 2W: 5%.** The **inverted duty structure** (5% on finished EV vs 18% on Li-ion batteries / 18-28% on most EV components) is a working capital strain and the central industry advocacy issue for 2024–2026. Section 80EEB allowed up to ₹1.5L income tax deduction on EV-loan interest (largely grandfathered now).

Trade and exports

CBU import duty 50% (reduced to 10% over 10 years for select UK premium 2W under the **India-UK FTA signed 2025** — benefits Royal Enfield and Bajaj-Triumph). CKD 15%, SKD 25%, components 7.5–15%. RoDTEP 0.5–1.5% on FOB. Bajaj Auto's Manaus Brazil plant (June 2024 commissioning, 20K → 50K p.a.) and Royal Enfield's six CKD overseas plants are the major manufacturing-export plays.

Scrappage policy and future regulations

Vehicle Scrappage Policy (announced February 1, 2021; effective April 1, 2022 onwards, private vehicles June 1, 2024): private 2W mandatory fitness test after 15 years; commercial 2W 15 years. Incentives: 5% OEM discount, 25% road tax rebate (private), zero registration fee on replacement. ~4 lakh vehicles scrapped to date — limited 2W impact since most don't reach 15 years.

CAFE for 2W is being proposed for FY28 onwards and will pressure OEMs toward EV/CNG.

Battery swapping policy (NITI Aayog draft April 2022) is **stuck** — **never finalised** because OEMs cannot agree on standardisation. **Battery Waste Management Rules 2022** (notified August 22, 2022) impose EPR with 70% collection target by 2024–25 rising to 90% by 2026–27.

AIS-156 amendments after the 2022 EV fires (Ola, Okinawa, Pure EV, Boom Motors) are the most consequential safety regulation of the past five years. Phase 1 (December 1, 2022): BMS microcontroller, over-charge/discharge/temp protection, manufacturing date on cells, IS 16893 cell certification. Phase 2 (March 31, 2023): IPx7 pack waterproofing, thermal propagation test, EMC of BMS per AIS 004, audio-visual warning for thermal events, 4 temperature sensors, NABL-accredited cell testing. Compliance accelerated industry consolidation: clean OEMs (Ola, TVS,

Ather, Bajaj) gained share; Hero Electric, Okinawa, Pure EV lost it.

Part 8: Industry data dashboard

Wholesale and retail totals

Period	Domestic wholesale	Exports	Total	Notes
FY24	17.97M	3.46M	21.43M	Recovery year
FY25	19.61M (+9.1%)	4.20M (+21.4%)	23.81M	FADA retail 18.88M (+7.7%)
FY26	21.71M (+10.7%)	5.18M (+24%)	26.89M	Record, beats FY19 peak; FADA retail ~21.42M

FY26 split: motorcycles 13.06M (+6.6%), scooters 8.12M (+18.5%). Sept 2025 single-month wholesale: 21.6 lakh (highest ever for September). October 2025 EV registrations: 1,45,011 (festive Diwali peak).

FY25 OEM market share (FADA retail)

Hero MotoCorp 28.84% (down from 30.79% FY24) | Honda HMSI 25.37% (up from 23.36%) | TVS 17.49% | Bajaj 11.41% | Suzuki 5.20% | Royal Enfield 4.47% | Yamaha 3.44% | Ola Electric 1.82% | Ather 0.69%.

FY26 ICE vs EV split

Industry: 21.41M total 2W. EV penetration **6.54% (1.40M units, +22%)**. December 2025 EV share: 7.40%; March 2026: **9.79%**. EV market share leadership: TVS 24%, Bajaj 21%, Ather 17%, Ola 12%, Vida 10%.

Average selling price trends

Cumulative 5–6 year price increase (BS-VI + ABS/CBS + insurance + raw materials) is **45–50%**. OBD-2B (BS6 Phase 2): +1–2% (Hero Splendor Plus +~~₹1,650~~; ~~HF 100~~ +₹1,100). GST 2.0 (Sept 2025) reversed ~10% of cumulative increases on sub-350cc 2W.

Penetration vs Asia

India 150–160 2W per 1,000 vs Indonesia ~430, Vietnam ~530, Thailand ~590. >50% of Indian households own a 2W vs 85%+ in those peers — implying **substantial structural runway** for the next 10–15 years.

Industry forecast

CRISIL forecasts 8–10% volume growth annually through 2028–2030 (7–8% domestic + 11–12% exports). E2W projections: 2.0–2.5M FY28; 3.5–5M FY30 (well short of NITI Aayog's 80%-

by-2030 aspiration but a 4x multiple from FY25). Markets and Data forecasts an India E2W CAGR of 28.34% FY25-FY32 from a USD 1.6B FY24 base.

Part 9: Expert-level nuances to commit to memory

Hero outsells Bajaj but Bajaj makes more per unit. Hero owns 75–110cc commuter (Splendor + HF Deluxe alone are >50% of mix) — high volume, low ASP, ~14–15% EBITDA margin. Bajaj exited true 100cc post-2018, pivoting to Pulsar 125+, Freedom 125 CNG, KTM/Triumph/exports. Bajaj's per-unit revenue is ~2x Hero's; FY25 EBITDA margin 20.2% vs Hero's 14–15%.

Royal Enfield's 350cc moat is the closest thing to a monopoly in Indian autos. 80%+ category share; ~24–25% EBITDA margin (among world's highest for any motorcycle business); no real alternative for the "thumper" character; the Motoverse community converts it into a lifestyle brand. The threat: GST 2.0's 40% slab on >350cc bikes plus Triumph 350 + Hero Mavrick + Honda CB350/Rebel 300 chipped 400 bps off RE's 250cc+ share in FY26.

Activa is irreplaceable. Sells 2x its nearest competitor; >3 crore cumulative units; the default "first scooter" choice in India; highest resale value of any 2W; conservative styling that doesn't date. Honda's only weakness is commuter motorcycles vs Hero — which Vithalapur's retooling is fixing.

TVS is the most diversified Indian player. Motorcycles + scooters + #1 in EV scooters + 3-wheelers + Norton (UK) + BMW partnership + Swiss e-bikes + Indonesia. 73% of mix above 110cc (vs 53% in FY20). Apache RR 450 (BMW-derived parallel-twin) and Norton 450 will define its premium thrust.

Bajaj exited 100cc to maximise margin. The strategic choice has been validated by FY26 numbers: lower volume, much higher per-unit revenue, the highest margins in the industry, plus the optionality of KTM, Triumph and CNG Freedom 125.

The Bajaj-KTM deal (November 18, 2025) is a watershed. Bajaj Auto International Holdings now controls 74.9% of Pierer Mobility (renamed Bajaj Mobility AG) and KTM AG via €800M cash injection. Bajaj indirectly controls Husqvarna and GasGas. KTM is a step-down subsidiary of an Indian company. CEO Gottfried Neumeister continues; new CFO Petra Preining. This is the largest Indian auto outbound acquisition ever in motorcycles.

Royal Enfield's global expansion is real. Six CKD plants — Thailand (2024, 30K capacity), Brazil/Manaus, Argentina, Colombia, Bangladesh, Nepal. Brazil to be #1 non-India market. H1 FY26 international shipments +49% YoY.

Ola's IPO collapse is a cautionary tale. Listed at ₹76 (Aug 2024); ATL ₹33.81 (Nov 2025); ~₹25 in early March 2026 — ~67% below issue. Service-quality crisis, the Bhavish-Kunal Kamra flame war, Maharashtra's closure notice on 121 stores, SFIO investigations, 5% workforce layoffs, market share crash from 30% to 12%, LG Energy Solution alleged tech leak (Oct 2025), Q3 FY26 deliveries -61% YoY. **TVS overtook Ola in CY2025 and FY26 — first fiscal-year loss since FY23.**

Ather's IPO is the contrast. Listed at ₹321 in May 2025; rallied to ₹620 by October 2025; market cap ₹23,630 cr. Premium positioning, growing market share (11% to 17% in one year), narrowing losses, Factory 3.0 in Maharashtra, 2,500-station charging network. The disciplined opposite of Ola.

Honda is #2 overall but #1 in scooters. Activa dominance compensates for weaker commuter motorcycle distribution vs Hero. FY26 closing the wholesale gap to barely 0.4 percentage points. Vithalapur retooling to 50:50 mix, premium 350-500cc CB platform expansion (Rebel 300, GB500S projects), and ADV 160 launch are the strategic plays through 2027.

Three JV bikes (BHT) define India's mid-premium ladder. Bajaj makes Triumph (Speed/Scrambler 400, Speed T4 350; 50K+ year-1 production), Hero makes Harley-Davidson (X440, future co-developed models, plus the Hero-Zero Motorcycles middleweight EV), TVS makes BMW Motorrad (G310 series + new 450cc parallel-twin platform shared with Apache and Norton).

The four most important upcoming launches to track:

1. **RE Himalayan 750** — pre-production at EICMA 2025; production EICMA 2026; India launch 2027 (~₹4.5L); flagship ADV.
2. **RE Flying Flea S6** scrambler EV — 2026, complementing the C6 launched April 2026.
3. **TVS Apache RR 450 / Norton 450** — BMW-derived parallel-twin, EICMA 2026, India ~₹4.20L; rivals Aprilia RS 457.
4. **Hero-Zero Motorcycles middleweight EV** — California-built platform, FY26-27 launch, four models planned.

The PM E-DRIVE July 31, 2026 expiry is the single biggest near-term EV question. Industry has petitioned for further extension citing ₹6,000–12,000 per-vehicle cost impact. If the deadline holds, FY27 Q1 will see a buying rush followed by a demand cliff and accelerated EV-ICE price convergence — which combined with the 18% GST on sub-350cc ICE 2W will compress EV's price advantage.

Conclusion

The Indian 2W industry is at a strategic inflection. The volume base is at all-time high, the margin profile is improving, the export trajectory is finally proving the "make-in-India for the world" thesis, and the EV transition is no longer optional but the central battleground. Three structural shifts are now visible: legacy OEMs decisively winning the EV race (TVS, Bajaj, Ather, Hero Vida overtook Ola), premium displacement bands (350cc+) growing 3x faster than commuter while GST 2.0 created a discontinuity at the 350cc boundary, and Indian OEMs becoming global acquirers (Bajaj-KTM, TVS-Norton, Royal Enfield's six-country CKD network).

The next 24 months will be defined by four storylines: **the PM E-DRIVE expiry and what follows, Royal Enfield's Himalayan 750 / 750cc platform expansion, the Bajaj-KTM integration and global product roadmap, and whether Honda finally catches Hero in motorcycles** to become India's #1 OEM for the first time in 25 years. Anyone fluent in the contents above can hold their own with industry CEOs.